 Name _____

Walmart: Reading the Real Financial Statements

These are Walmart's statements as they appear in its **Form 10-K** filed with the SEC (a few lines omitted). Walmart's fiscal 2025 ended **January 31, 2025**. Fill in each lettered blank in the **2025** column, using how the accounts relate. Calculators are fine.

Walmart Inc.
Consolidated Statements of Income
(Amounts in millions, except per share data)

	Fiscal Years Ended January 31, 2025	2024
Revenues:		
Net sales	$ 674,538	$ 642,637
Membership and other income	6,447	5,488
Total revenues	**A** _____	648,125
Costs and expenses:		
Cost of sales	511,753	490,142
Operating, selling, general and administrative expenses	139,884	130,971
Operating income	**B** _____	27,012
Interest:		
Debt	2,249	2,259
Finance lease	479	424
Interest income	(483)	(546)
Interest, net	**C** _____	2,137
Other (gains) and losses	794	3,027
Income before income taxes	**D** _____	21,848
Provision for income taxes	6,152	5,578
Consolidated net income	**E** _____	16,270
Consolidated net income attributable to noncontrolling interest	(721)	(759)
Consolidated net income attributable to Walmart	**F** _____	$ 15,511
Diluted net income per common share attributable to Walmart	$ 2.41	$ 1.91

See accompanying notes.

Walmart Inc.
Consolidated Balance Sheet
(Amounts in millions)

	January 31, 2025
ASSETS	
Current assets:	
Cash and cash equivalents	$ 9,037
Receivables, net	9,975
Inventories	56,435
Prepaid expenses and other	4,011
Total current assets	**K** _____
Property and equipment, net	119,993
Operating lease right-of-use assets	13,599
Finance lease right-of-use assets, net	6,112
Goodwill	28,792
Other long-term assets	12,869
Total assets	**L** _____
LIABILITIES, REDEEMABLE NONCONTROLLING INTEREST, AND EQUITY	
Current liabilities:	
Short-term borrowings	$ 3,068
Accounts payable	58,666
Accrued liabilities	29,345
Accrued income taxes	608
Long-term debt due within one year	2,598
Operating lease obligations due within one year	1,499
Finance lease obligations due within one year	800
Total current liabilities	**M** _____
Long-term debt	33,401
Long-term operating lease obligations	12,825
Long-term finance lease obligations	5,923
Deferred income taxes and other	14,398
Redeemable noncontrolling interest	271
Shareholders' equity:	
Common stock	802
Capital in excess of par value	5,503
Retained earnings	98,313
Accumulated other comprehensive loss	(13,605)
Total Walmart shareholders' equity	**N** _____
Nonredeemable noncontrolling interest	6,408
Total equity	**O** _____
Total liabilities, redeemable noncontrolling interest, and equity	$ 260,823

See accompanying notes.

PART 3 · HOW THE ACCOUNTS CONNECT

1. **Gross profit** = Net sales − Cost of sales **G** _____
   Gross margin % = Gross profit ÷ Net sales **H** _____
2. **Purchases.** Beginning inventory (Jan 31, 2024) was 54,892. Beginning inventory + Purchases − Cost of sales = Ending inventory. Purchases = **I** _____
3. **Inventory turnover** = Cost of sales ÷ Average inventory
   J _____
4. **Retained earnings** grew from 89,814 (Jan 31, 2024) to 98,313. Increase = **P** _____ Net income attributable to Walmart (F) was larger than this increase. Why?

5. **Accounts payable** (58,666) is larger than **inventories** (56,435), and current liabilities exceed current assets. What does that tell you about Walmart?

6. **LIFO.** Walmart's U.S. stores use LIFO. When costs are *rising*, LIFO vs. FIFO gives cost of sales higher / lower , net income higher / lower , ending inventory higher / lower .

Source: Walmart Inc. Form 10-K for the fiscal year ended January 31, 2025 (SEC EDGAR), and the fiscal 2025 Q4 earnings release. Omitted: the 2023 income statement column, basic EPS and share counts, and the prior-year balance sheet column. "Finance lease right-of-use assets, net" is shown as the amount that balances total assets.